17

Understanding Development

Development is a concept that can be interpreted in many ways. It is difficult to define the concept in a way that is acceptable to everyone because people look at development in different ways. Most people think development is achieving one's needs and aspirations. But then we would like to improve everyone's lives. So what are the possible ways in which we can make all people prosperous enough to lead a happy and contented life?

There could be a lot of disagreement on these different ways, so how do we reach a consensus on a common path to achieve our objective? How can we ensure that every individual has the opportunity and develops the capability to do the things that we consider are important for our society? How can we ensure that society provides them the opportunity to do these things? What efforts should we make in this direction? We shall discuss these questions and issues in this chapter.

In your view of development, what else do you visualise besides roads, electricity, housing and other infrastructure? Why do you include these in your concept of development?

How different people see development

The table below lists the aspirations of different people. It visualises what people think about their personal development. These are only examples. It's possible that people have other objectives in mind as well. What do you think are the aspirations of the people listed below? Visualise their aspirations and complete the table:

Table 17.1

S No	Category of people	Objectives/aspirations of development
1	Daily wage labourer	Work throughout the year, better wages, children's education, …….
2	Industrialist	Availability of cheap raw materials, roads/electricity and other infrastructure, peaceful environment,…….
3	College student	Better educational facilities, employment opportunities, personal freedom and security, ……
4	Educated unemployed such as engineers	Employment opportunities, housing, …….

5	Women agricultural workers	Good wages, security, work throughout the year, health services, ……..
6	Yourself	
7	Small farmer	
8	Teacher	
9	Village *sarpanch*	

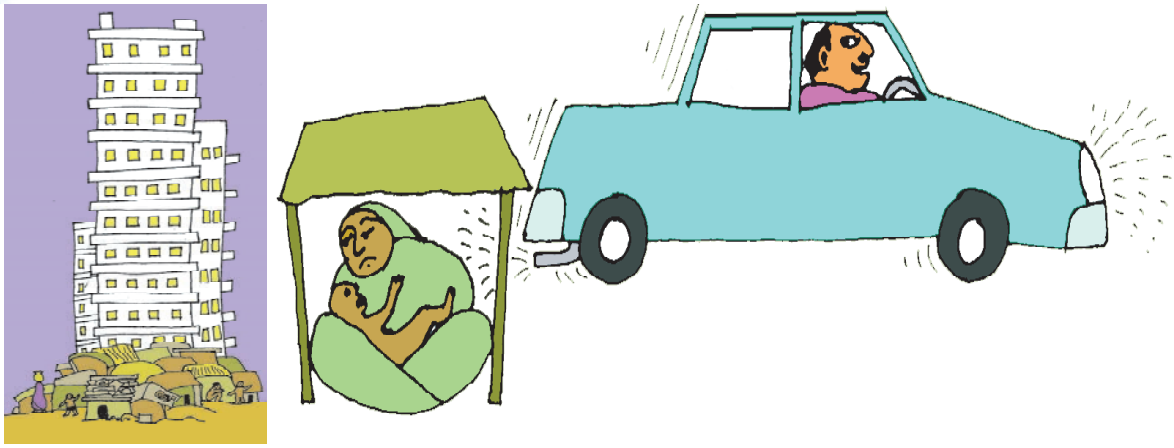


Pict 17.1: Write what can be his wishes

If we examine the table, we see that people aspire for those things that they feel are most important for them. These aspirations could be of many kinds. For example, a college student looks for freedom and security in addition to better educational facilities and employment opportunities. For many people, health services are a priority. The industrialist wants to earn the maximum profit by selling his produce. The daily labourer looks for fair wages and work throughout the year. He also hopes his children will not have to work as daily wage labourers.

These aspirations can sometimes give rise to situations of conflict. For example, a girl may want as much freedom and opportunities as her brother but her parents may not like her thinking this way. Similarly, an industrialist may want to earn a profit by selling his products at the maximum possible price but a consumer may want the same products to be easily available at a reasonable price.

This shows that people aspire to protect their own rights and the needs of their families. But what happens when we want to protect and accommodate the aspirations of all the people living in a particular region? Wouldn't we then have to think of a solution that goes beyond the individual aspirations



Pict 17.2: Caption

of people? We would have to think about everyone's rights and how we can protect them. We would have to think of the different kinds of such **universal rights that lead to public welfare**. For example, establishing a school in a village or town would provide children the opportunity to study, which may not have been available earlier. The education being free would make it universally available to everyone. Parents would not have to spend. In addition, mid-day meals and scholarships would be provided to attract more children to the school and ensure that they are not hungry. Such measures help to ensure that the right to education is universal and everyone can benefit from it. Similarly, other public facilities such as drinking water, health, roads, a public distribution system, sanitation etc are also universal, hence available to all.

Let us try to understand the concept of universal rights that lead to public welfare. Consider the case of a village with a narrow, mud road. When the weather is fine, people can come and go without any problem. But when it rains, the mud road becomes slushy. People then find it difficult to move in and out of the village. So the villagers decided to widen and pave their mud road to make it useable even during rainy weather. But to widen the road, it was necessary for some villagers to give part of their land. Some villagers agreed to donate their land but some others were not prepared to do so. The villagers convened a meeting of their *gram sabha* to discuss the issue. Eventually, all the landowners affected by the proposed road decided that they would donate the land needed to widen the road to serve the interests of all the villagers. In this way, the entire village could benefit from the construction of a wide, paved road. Public welfare would be ensured.

What do you think should be the development goals of your village/town? Explain with a few examples.

Why are scholarships for students considered to be a scheme for public welfare? Discuss in class.

Give three suggestions to improve public health facilities in your region and make them available to everyone.

Contradictions in development schemes

Over the past few years, there has been widespread discontent in many regions of our country about the way in which development programmes are being carried out. Industrialists are focusing on mining mineral resources and setting up factories to earn profits. They claim that setting up industries opens up new employment opportunities for people in the region and boosts the manufacture of goods.

But there is a contradiction in their claim. Land is required for mining mineral resources and setting up factories. Acquiring this land affects the lives of large numbers of people. Many of them are displaced and do not get adequate facilities for their rehabilitation. They lose their traditional sources of livelihood and their cultural moorings. Development, thus, gives rise to a situation of conflict in society.

Odisha is rich in coal, bauxite and iron ore resources. The state plans to set up at least 45 steel units. The people living in these mineral-rich regions constantly fear that they will be displaced when their land is acquired for these proposed industrial units. Hundreds of acres of fertile agricultural land have already been acquired for the purpose and forests have been cleared on a massive scale, leading to the drying up of their water sources. The people have, time and again, registered their protest against the establishment of these industries. Their main demand is to protect their land, water, forests and sources of livelihood. They do not wish to be displaced to an unknown location after being provided some compensation. They argue that once they exhaust the money they receive in compensation, they are forced to work as labourers, without any guarantee of employment or work security. These changes have adversely effected their traditional lifestyle.

Many environmentalists have also voiced their concern about the adverse impact of the state's industrialisation on the environment of the country. They claim that excessive mining of mineral resources and establishing industrial units are destroying our land and water resources and polluting the atmosphere. The discharge of industrial wastes is also polluting our water sources. As a result, people now face the danger of new, pollution-related health problems.

A committee set up by the Indian government investigated the largescale industrial pollution in the state and found that a few large companies had flouted the Forest Rights Act to set up industries. Consequently, the Ministry of Environment had stopped the land acquisition activities of some of these industries.

Such contradictions in development can be found in many other sectors besides the industrial sector. For example:

Garbage collected daily from the cities is dumped in distant locations in the rural areas, polluting the air and water sources of the villages.



Pict 17.3: Industries and Mining

Dams constructed for irrigation make water easily available for agriculture in some areas while areas far away from the irrigation facilities may continue to face drought conditions.

What contradictions are the establishment of industries giving rise to in the state of Odisha?

What steps need to be taken in the above example, keeping universal rightsand public welfare in mind?

Find out: What are the provisions in the Forest Rights Act to protect people's rights?

Can you think of other examples where similar kind of contradictions have arisen?

Can solutions be found to resolve these contradictory situations in the perspective of public welfare? Discuss in class.

Income and other objectives

Let us analyse Table 1.1 once again. The main objective for all the individuals listed in the table is to earn more money. For example, the labourer wants better work, the industrialist wants more profit, the college student and the unemployed engineer want better employment opportunities to increase their income. But why is this so? It is because people think that they can fulfil their needs and raise their standard of living if they earn more money.

But people also have other needs and desires, apart from earning a good income, which they also consider to be important.

On the basis of Table 17.1, what are the things that people consider as necessary, besides earning an income:

1.……

2.……

3.……

People want freedom and expect to be treated equally by all in the society in which they live. They also see security as a need because a person cannot progress and develop in an insecure environment. The concept of security in this context is of a society that is free of fear and discrimination and where special measures are taken to protect the backward classes and they are provided with opportunities for development. Unemployed people want better employment opportunities so that they can earn more money. They also look for stability in employment and other family benefits such as medical treatment, housing, drinking water, pollution-free environment and proper education for their children. If these benefits are not available, it affects their capacity to work and obstructs their development.

Measurement and distribution of income

Let us now discuss which indicators are needed to measure development in a country. One of the most important indicators is income. People meet their needs and fulfil their aspirations with the income they earn. They buy goods and services with their money. So the total production of goods and

services of a country helps us to estimate the income earned by the people. For this, we use the per capita (per person) gross domestic product (GDP) as an indicator.

Table 17.2: Per capita GDP of select states for 2013-2014 (in rupees)

State	Per capita GDP
Maharashtra	1,14,392
Kerala	1,03,820
Bihar	31,199

(Source: Ministry of Economics and Statistics, Government of India 2015)

Per capita GDP is an average. It is obtained by dividing the total output (production) of a country by the number of people (population) in the country. Table 17.2 gives the per capita GDP of Maharashtra, Kerala and Bihar. We are talking of the gross domestic product of these states here. Try to recall the meaning of gross domestic product from what you learned in the previous class. It is the value of the total goods and services produced by the state (during the course of any year). We can see that Maharashtra has the highest GDP per capita among the three states and Bihar the lowest. This means that, on average, goods and services worth Rs1,14,392 are available for every person in Maharashtra while goods and services worth only Rs31,199 are available in Bihar. This indicator helps us to compare different states and estimate their development over the years.

Per capita GDP is an indicator of average availability. But it doesn't mean that all people in the country get this value of goods and services. People's incomes differ. So some people can buy more services and goods and some people can buy less, depending on their income. To understand this difference, we need to look at the distribution of income. While average income (per capita income) is a good measure for comparison, it tends to conceal differences in income. This can be better understood by the following table:

Table 17.3

Year	Average income of group (in rupees)						
	A	B	C	D	E	Total income	Per capita income
2010	2,000	4,000	5,000	6,000	3,000	20,000	4,000
2012	2,000	8,000	6,000	6,000	8,000	30,000	6,000

Suppose there are five people in the group, each of them with a different income. We wish to know how the income of this group changes after five years.Table 17.3 shows that the average income was higher in 2012 compared to 2010. Hence it is evident that this group developed. But the income of the

people in the group did not rise equally. In fact, some of them did not increase their income. So the income of A and D remained the same while B, C and E increased their income. That is why it is important to look at the distribution of income while using average income as a measure of development. Only then can we know whether everyone got the opportunity to develop or whether development was limited to only some of the people.

Similarly, consumption expenditure is also a major indicator of development because it is what people spend on obtaining the goods and services they need. The government conducts surveys to find out the expenditure of different classes. This information helps us to find out how much a particular group spends on its consumption needs. The group that spends more on consumption is considered to be better off. Consumption expenditure in an indirect way tells us about the income distribution among groups in society.

Let us now study Table 17.4 which shows us the per capita monthly expenditure (in rupees) of rural households in India.

Table 17.4 - Households in India (2011-12)

Rural household	Total consumption expenditure
Farmer (self-employed)	Rs1,436 per capita per month
Wage earner (regular labour)	Rs2,002 per capita per month
Casual farm labour	Rs1,159 per capita per month

Source: Report No.562, Household consumer expenditure across socio-economic groups

The table reveals that the self-employed farmer households spend Rs1,436 per capita per month. Similarly, regular wage earner households spend Rs2,002 per capita per month while casual labour households spend Rs1,159 per capita per month. The per capita per month expenditure is least for casual labour households. The reason is that this group does not get regular employment throughout the year and the wage rate is also low. As a result, these households face economic hardships and cannot raise their standard of living. If universal rights and public services determine the outcomes of development, then its impact should be seen on the living standards of these households.

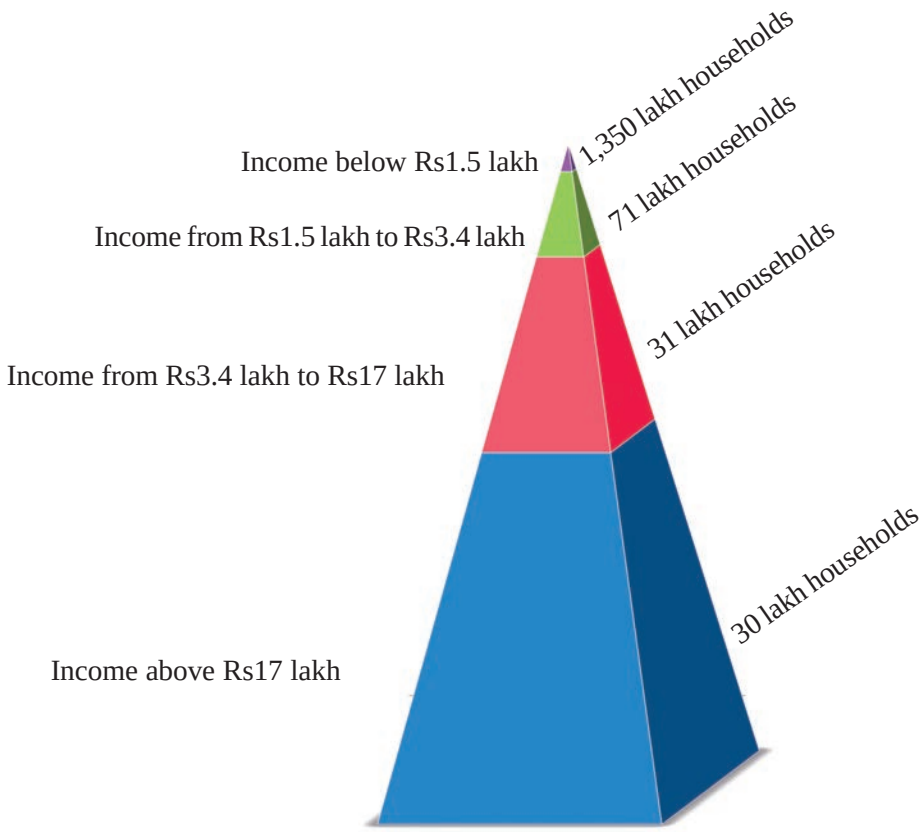
The per capita income in Chhattisgarh is …….. Compare this with the other states.

Can you estimate the per capita income of your family?

What impact does unequal distribution of income have? Discuss in class.

Find out the per capita per month consumption expenditure of two contrasting households in your neighbourhood. Explain the difference in their expenditure.

The pyramid given below shows income statistics in India. Explain them in your own words.



Pict 17.4:

Other development indicators: education and health

Have you ever wondered why your parents spend money to educate you? Why is such expenditure necessary? Better access to education and health helps individuals to perform different tasks easily and successfully. They can benefit from better employment and other economic opportunities. Child labour is automatically eradicated in a society that builds a robust and effective educational system in which every child can gain admission. An educated person is more capable of resisting any kind of exploitation in society. Health services ensure protection against disease and ill health. The availability of education and health services is not limited to only those who enjoy their benefits but impacts the entire society. A healthy and educated individual inspires others to seize opportunities for their development.

Equal access to good education gives women the opportunity to develop their talentsand also raises questions about the traditional discrimination against daughters in favour of sons. An educated woman understands the importance of nutritious food for health and well-being. Their role in society changes in an environment in which their voices are heard. Nutritious food, safe drinking water and proper sanitation are necessary for creating a healthy society. Countries that ensure such basic services for their people develop more rapidly.

Human development report

Income is seen as an important indicator to measure development. But all round development cannot be measured by this indicator alone. We need to consider other indicators. The list of such possible indicators can be long so we have to choose the most appropriate ones. Education and health are two such important indicators that have been used along with income to measure development. For example, the human development reports published by the United Nations Development Programme (UNDP) uses education, health and life expectancy as indicators to compare the development of different countries.

Life expectancy is an estimate of the average lifespan of a person. It estimates how many years a new-born child can be expected to live. This is an important indicator of all-round development of a country. The literacy rate indicates what percentage of the population aged above 15 years is literate. This rate would increase if education is made available for all children.

From birth up to the age of five years is an important period in human development. This is the phase during which mental development is the strongest. Children who are malnourished in infancy can be affected for life. The most important objective of development is to ensure that our future generation is given the chance to live a healthy life. There are two ways in which malnutrition in children can be measured – their height and weight at different ages. If the height and weight of a child is not as expected at a certain age, the child is considered to be malnourished. You can get more information about this measure if you visit the local *anganwadi*. We can interpret the following table on the basis of these development indicators:

Table 17.5: Development statistics of India and neighbouring countries (2010)

Country	Life expectancy (years)	Literacy rate 15+ (%)	% Malnourished children among all under-5 children	
			Height for age (%)	Weight for age (%)
Nepal	69	59	49	39
India	65	63	48	43
China	73	98	10	04
Sri Lanka	75	91	17	21

Source: UNESCO Report, HDR report 2013, UNICEF 2012

We need to take a consolidated view ofincome and other goals from a human development perspective. Wehave understood these indicators from this perspective. The impact of development should be seen in a better quality of human life especially in health and education related indicators.

Answer the following questions on the basis of Table 17.5

In which countries is the level of human development better?

Over the past 10 years, per capita income has increased three times more in India than in Nepal. Yet there is very little difference in the human development indicators. Why is this so? Discuss in class.

What additional efforts need to be taken in India to realise our human development goals?

We use per capita income as a measure to compare different countries. The currencies of these countries are pegged to the American dollar – for example, how many rupees, yen or Nepalese rupees equals a dollar. Suppose an American with $100 comes to India. How many rupees would his $100 be worth? Going by the currency exchange rate in the market, he would have about Rs6,500. But should we calculate according to the market rate if we want to compare the per capita incomes?

How do we compare and find out the dollar-rupee exchange rate if we do not use the market rate? Surveys are conducted in different countries to find out how many goods and services can be bought with a dollar in these countries. Suppose the American in our example bought goods and services worth $100 in America. *How much would he have to spend to get the same goods and services when he comes to India?* Now suppose he spent Rs3,500 to buy these goods and services. Then $1 spent in America would equal Rs35 spent in India. By doing this, we maintain purchasing power parity. Income among countries is compared by taking purchasing power parity into account.

Discuss the following Table 17.6

Country	Per capita income (US$)
India	5497
Nepal	2311
Sri Lanka	9779
China	12547

Source: Human Development Report 2015

Why is it better to use purchasing power parity to compare the income between countries? From the table above compare the per capita income of India and China.

Public facilities

We cannot buy all our basic needs and facilities with our personal income. For example, income would not help us to buy a pollution-free atmosphere. For that, we would have to move to a place with a pristine environment. Money cannot protect us from infectious and contagious diseases. We need to have a clean and sanitary environment to prevent the spread of diseases. Similarly, private security guards cannot be deployed for every individual but a safe and peaceful environment can be created for everyone. For this we need several public facilities. For example, a safe drinking water supply

system would benefit everyone. So would basic facilities such as a public distribution system that enables people to obtain their rations of food-grains and other necessities at subsidised rates. Such a system would reduce the level of malnutrition.

The long term impact of making basic facilities available to people can be seen from the following example. At the time of independence, the literacy level was very low in Himachal Pradesh. It was similar to Madhya Pradesh. It was a challenging task to establish schools in this hilly state. But the people and the government were keen to see the spread of education.

The government decided to open schools to provide free, low-cost education. Gradually, these schools were given additional facilities such as more teachers and classrooms, toilets, drinking water etc. What is surprising is that Himachal Pradesh spent Rs2,005 per student in 2005, compared to the all-India average of Rs1,049. The state also encouraged the education of girls. As a result, the education system in the state underwent massive change. Infant mortality and girl child mortality was reduced significantly. The women here are more productive and self-reliant, venturing out of their homes to work and also allowing their daughters to work. They became more active in rural institutions and cooperative societies. In this way, the spread of education led to major changes in the state, with the literacy rate touching 83.98 percent. The state has progressively& steadily increased its human development indices. These are better than most other states.

We can get glimpse of these changes from the table at 17.7 below :

Table 17.7 - Percentage of students who have had five or more year of schooling

	1993	2006
Girls	39%	60%
Boys	57%	75%

(Probe Revisited, OUP, 2011)

We have tried to understand the concept of development in this chapter. We have learned about the various available criteria to measure development. We learned about the true meaning of development by estimating the progress in various human development indices based on these criteria. We learned that societies can be considered developed if they score high on norms such as Income, literacy rate, life expectancy and nutrition levels.

Exercise

1. Choose the correct options in the following:

1. Assume there are five families in a group. They average per capita income of the group is Rs. 4000. In two years times they average per year capita income is Rs. 5000.
   a. They group has not progresed
   b. The income of each person in the group has incresed.
   c. The group has progressed
   d. The income of every person in the group has decreased
2. The government provied for electricity because
   a. It needs to use the extra supply that it has created
   b. It needs to earn money
   c. For public welfare
   d. For supply to government offices

2. What are the main indices to measure development?
3. India's GDP is larger than Nepal's, yet it lags in human development indicators. Why?
4. What are the factors other than per capita income that are important when comparing two or more countries?
5. Write an article on how India can be developed.
6. Do you see any contradictions in the development programmes being implemented in your area? Explain in brief.
7. In table 17.3 we assume that the prices of goods and servies have not change. Discuss?
8. A apart from the development indicator mention in this chapter can you thing other indicators?
9. If we wish to list development indicators for your school (other than examination results) what all whould you include in this?
10. Discuss the following :
    A. Infant mortality rate
    B. Money spent on illness
    C. Percentage of people who get clean drinking water
    D Those who are employed for less than 6 months in a year
11. Average income hide the inequality of income of among people. Explain
12. Different social group have different expenditure levels. What does this indicate?